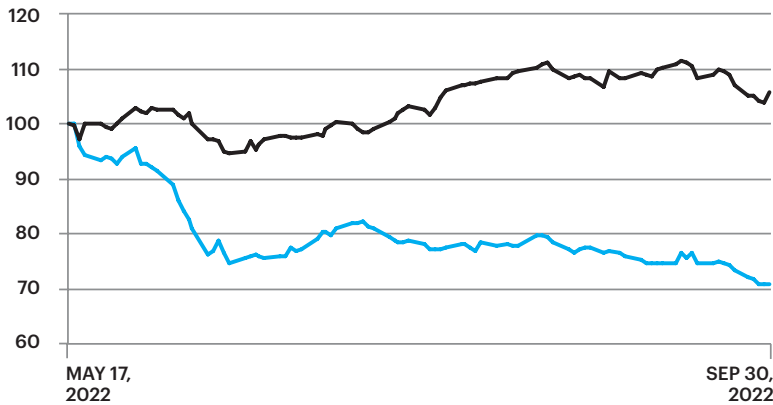


LIC VS BSE SENSEX

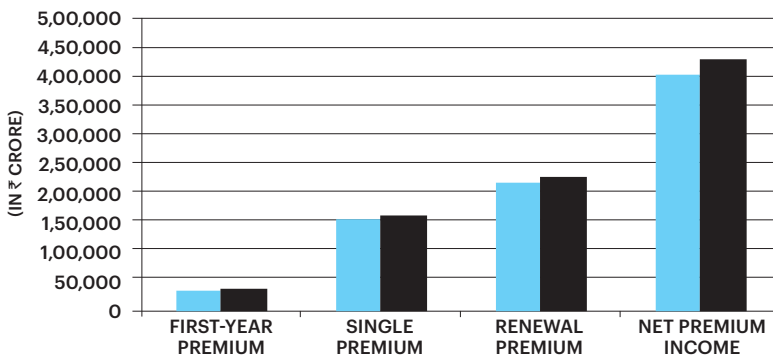
Since its listing on May 17 this year, the LIC stock has underperformed the benchmark index



■ LIFE INSURANCE CORPORATION OF INDIA ■ BSE SENSEX; BASE=100
SOURCE ACE EQUITY

INCOME MATTERS

LIC's consolidated net premium income in FY22 grew 6 per cent YOY



■ FY21 ■ FY22 SOURCE ANNUAL RESULTS

THE GROWING GIANT

The insurance behemoth's AUM in FY22 has grown to ₹40.85 lakh crore

	FY22	FY21
Assets under management	₹40,84,601 crore	₹36,76,179 crore
Embedded value	₹5,41,492 crore	₹95,605 crore
Annual premium equivalent	₹50,390 crore	₹42,170 crore
Solvency margin (multiple)	1.85	1.76

of the bancassurance distribution channel. For example, the share of participating business within the the overall individual business (retail), in terms of APE, was as high as 93 per cent for FY22.

The insurer, however, intends to increase the share of non-participating policies. "We intend to increase our market share of non par business as well as diversify the channel mix while ensuring that our agents stay as the main distribution pillars of our products," wrote Kumar in LIC's annual report for FY22.

THE STOCK IS currently trading at a market cap to embedded value of less than 1 with the embedded value being ₹5.41 lakh crore for FY22, which is at a steep discount if compared to the 2-3x valuations commanded by LIC's listed peers. Embedded value is the total of present value of all future profits from the existing business plus net worth, which includes capital.

The insurance behemoth, however, is taking many measures to increase the confidence of shareholders. Dalmia of Proficient Equities says. "Most private players have focussed on increasing the mix of high-margin non par/protection products. LIC's reliance on participating products remains high. But it enjoys a high market share in the annuity segment. However, private players are also catching up as they have reported 23-131 per cent CAGR over the past three years."

In the long run, as LIC focusses on generating revenue from high-margin products, the insurer is expected to perform well over the long term with a focus on new product launches and digitalisation to aid growth. **BT**

@teena_kaushal